

Chapter # 2 (Marketing).

Company and Marketing Strategy.

What is strategy?

It is the matching of the activities of an organisation to the environment in which it operates and to its own resource capabilities.

↳ Marketing strategy

The logic by which the business unit hopes to create customer value and achieve profitable relationships.

1st - Build a marketing strategy.

2nd - Decide on who the company will serve through

↳ Market segmentation

↳ Target marketing

3rd - Decide on how it will serve customers through

↳ differentiation

↳ positioning.

↳ This helps to create an integrated marketing plan, which makes use of 4 P's as well with help of marketing analysis, planning, implementation and control.

What is a vision statement?

Gives an idea of what the company wants to become.

Key Elements of it

↳ forward looking

↳ motivating and inspirational

↳ reflective of a company's culture and core values

↳ aimed at bringing benefits and improvements to the organisation

Eg.

"To give everyone a voice and show them the world"

"Bring inspiration and innovation to every athlete"

eg.

Microsoft's vision

"To create local opportunity, growth and impact in every community and country around the world"

↳ reflects microsoft's values of innovation, diversity and corporate social responsibility - overall a forward looking road map to success that may take a life time to achieve as well.

Strategic Planning Process:

↳ to develop a strategy for a company's long-term survival and growth.

(market oriented)

1) Define Mission

Defines organisational purpose

2) Set company objectives

Supporting goal and objectives to guide company.

3) Design Business Portfolio

collection of businesses and products/ services

4) Planning functional strategies.

Detailed planning for each department to achieve strategic objectives.

Mission Statement? (purpose purpose)

It is a precise statement that defines what a company does and what purpose it serves.

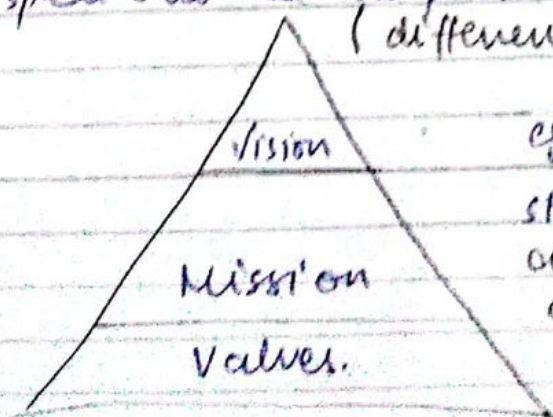
When creating it, keep these in mind?

- what do we do?
- why do we do it?
- who do we do it for? (our market)
- who are our competitors?
- why is this work important? (impact)

* Different from a vision statement as a vision statement is mostly supposed to be aspirational future state that a company wants to achieve, whereas a mission statement describes an organisation's purpose and what it does today.

Formulating it (it should have) future

- 1) Strategic intent or vision for foreseeable future
- 2) Values of organisation (guiding principles)
- 3) distinctive competences
- 4) Market definition (related to customer target)
- 5) spell out our positioning in market place (differential advantage)



eg- Starbucks mission statement: "Inspire and nurture the human spirit - one person, one cup and one neighborhood at a time."

Designing Business Portfolio.

eg. Meta : facebook ,instagram and whatsapp

↳ The best portfolio fits the company's strengths and weaknesses.

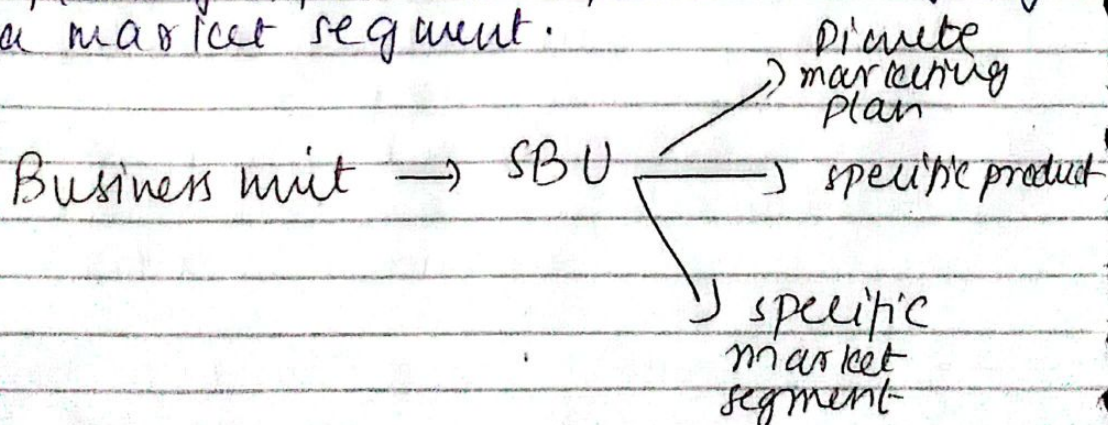
Analyzing current business portfolio.

-) Analyze SBU's
-) Decide which SBU needs more attention
-) Develop growth strategies for new products or businesses.

SBU, (Strategic Business Units)

It is a fully functional, independently operational setup of a particular business. These units are active and have their vision, growth and direction.

The main objective of such a unit is to maximize profits and mainly focus on offering a particular product targeting a market segment.



* Small entities within a large scale organization that deals with multiple products and services.

⇒ It benefits by making it clear which strategy is required for a particular business setup and right amount of funding.

Characteristics of SBUs

- o) Designed to target a specific customer base in market.
- o) control over resources
- o) It has its own set of competitors
- o) Manager is present to overlook strategic planning and profit performance.

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- ⇒ on vertical axis, the market growth provides a measure of market attractiveness.
- ⇒ on horizontal axis, relative market share serves as a measure of company strength in market.

Existing
markets

Market
penetration

Product
development

New

Market

Diversification

High Relative Market Share Low

Stars

High growth & share

- need heavy investment to finance their rapid growth
- potential to turn into cash cows
- They generate as well as consume revenue.
- profit potential
- SBUs with a monopoly over market or big industry growth

Cash Cows

Low growth & high share

- Established, successful SBU's
- produces cash
- operate in industries which are in maturity stage
- generate far more cash than consumed
- These units help to pay bills of a company and support other SBU's.

Question Marks

High growth, low share

- They require a lot of cash to hold their shares let alone increase it
- management has to think on which question mark to turn into star and which to phase out.
- need competitive position, thus they have to develop competencies
- demand a lot of monetary investment.

Dogs

Low growth & share

- low profit potential
- can never become a star
- underachievers.
- only generate enough cash to survive and keep themselves afloat.
- low attractiveness.

and so, ... maximum profits are mainly focus on offering a particular product targeting market segment.

Product marketing plan

Example of SBU

Disney

The entertainment company has five SBUs with businesses like studio entertainment, the media network, consumer products, parks and resorts and the interactive media business.

→ The cost sharing of all five business units is closely linked and takes help from each other for innovation, publicity and work operation. For eg. Walt Disney incorporated Marvel in their theme parks, offering a novelty to its customers.

Developing Growth strategies.

Product / Market expansion (Ansoff's matrix)

	Existing Products		New products
	Market penetration		Product development
Existing markets			
New markets	Market development		Diversification

Market penetration: (least risky)
Increase sales to present customers with current products.

How?

- increasing marketing efforts
- decreasing prices to attract new customers
- acquiring a competitor in same market

Market Development.

Develop new markets with current products ^{or existing products}

How?

- o) catering to a different target demographic
- o) going for regional expansion
- o) going for international expansion.

Product Development

Offering modified or new products to current customers.

How?

- o) Investing in R & D (resource and development) to develop altogether new products.
- o) Acquiring the rights to produce and sell another firm's products

Diversification.

New products for new markets

How?

start up or new businesses.

Marketing Strategy and Marketing Mix.

Customer Driven Marketing Strategy.

Market Segmentation.

Determining distinct groups of buyers with different needs

eg. The market segmentation strategy for a new video game console may reveal that most users are young males with disposable income.

Target marketing

Evaluating and selecting which target-segment better

eg. Spotify, which uses target marketing to personalize music recommendations and curate playlists for its users.

Market Differentiation

Differentiate market offerings to create a superior market.
eg. Emirates make use of exceptional customer service to differentiate itself from other airlines.

Market positioning

It is a set of actions and processes that are designed to improve image and visibility of a brand, company or product compared to competing products in a consumer's mind.

“Positioning is not what you do to a product. Positioning is what you do to the mind of the prospect. That is, you position the product in the mind of the prospect.”

eg. A car company might position itself as the safest option for a family.

Strategies for Differentiation / competitive advantage.

•) Market leader.

↳ company with largest market share in an industry that can often use its dominance to affect the competitive landscape and direction the market takes.

•) Market challenger

↳ company that has a lower market share but strives to increase its competitive aggressiveness with its products and prices.

1) Market follower

↳ company that follows the footsteps of the market leader

2) Market - Niche

↳ subset of the market on which a specific product is focused.

seller's view of market

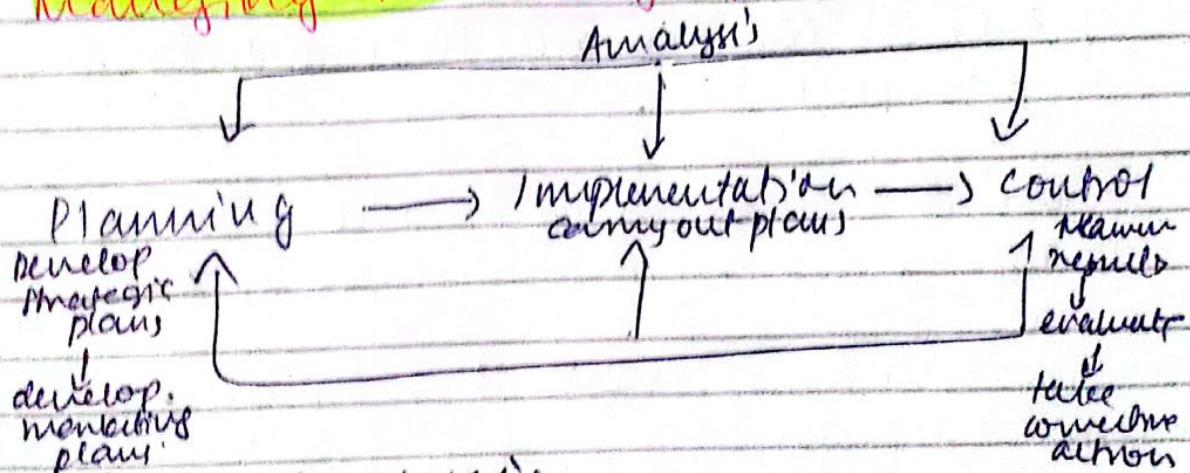
buyer's view of market

Four P's

Four C's

Product	→	Customer solution
Price	→	customer cost
Place	→	convenience
Promotion	→	communicating

Managing Marketing Effort



SWOT Analysis

	Strengths what organisation excels at	Weaknesses what stops an organisation from performing at optimum level
Internal		
External	Opportunities favourable external factors that could give an organisation a competitive advantage	Threats Factors that have the potential to harm an organisation
	Positive	Negative

Example

Coca Cola Company

Strengths

-) variety of products
-) 43% market share in soft drink industry
-) powerful brand recognition
-) secret recipe for soft drinks.

Opportunities

-) can increase market share if they listen and adapt current health trends.
-) relatively few actual competitors on the market.

Weaknesses

-) difficulty to keep up with health industry
-) unable to find a better substitute for sugar
-) difficult to change current positioning.

Threats

-) companies offering healthy alternatives to coca cola and other soft drinks.
-) negative press and media image.

(Chapter # 3) Marketing Environment.

marketing intelligence and research is done to keep pace of market trends and opportunity

The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target markets.

Marketing Environment.

micro environment

Forces that affect the company's ability to serve its customers

→ known as controllable forces.

macro environment, larger societal forces that affect the whole environment

→ uncontrollable forces.

Micro environment

- 1) Company
- 2) Suppliers
- 3) Intermediate channels
- 4) Customers
- 5) Competitors
- 6) Public

Functional areas of company like R & D, Finance etc.

Top management at vision which the marketers use to build strategies.

HARMONY IS NEEDED FOR SMOOTH OPERATIONS.

2. Suppliers

Provide resources needed to produce goods and services.

•) Managers should be aware of how the availability of goods and treat suppliers as partners

↳ to get superior customer value.

As if resources are on a shortage, then it can seriously damage the market of a company as force them to increase prices.

3. Intermediaries

Help the company to promote, sell and distribute its goods to final buyers.

for example:

Metro → coco'cola

↳ includes the wholesalers and retailers who buy and sell merchandise.

↳ buys in bulk
to sell to
retailers

↳ a person, shop or business that sells goods to the public
eg. a big electronics retailer

4. Competitors

They are a target market with similar products and services.

“No one size fits all”

↳ work on positioning.

↳ to provide better value and satisfaction to customers.

5. Publics

Any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives.

It has 7 types.

- (1) Financial Publics
Attentive ability to obtain funds
eg banks, investors, stock holders etc.
- (2) Media Publics
Tells news, features and editorial opinion of company through newspapers, magazines, radio etc.
- (3) Government Publics
Take into account government developments.
eg. Mobilizing advertisement promoting tourism in Pakistan.
- (4) Citizen-action Publics
Questions raised from environmental and minority groups.
- (5) Local Publics
Includes neighbourhood residents and community.
- (6) General Publics
Attitude of general public towards company offering.
↳ perception can be judged through their feedback on social media.
- (7) Internal Publics
Are the working body of a company.
↳ large companies use newsletters and other means to motivate employees.

6. Customers

5 types of markets that purchase a company's goods.

1. Consumer market - personal use
2. Business market - buy for further processing
3. Reseller market - resell
4. Government market - buy for public
5. International market - buyers in other countries.

Macro environment

1. Demographic
2. Economy
3. Natural
4. Technological
5. Political
6. Cultural.

Demographic

People

↳ gender, race, ethnicity, occupation, location etc

⇒ Helps to ^{monitor} ~~segment~~ all of the above to cater customers more ~~and~~ promptly

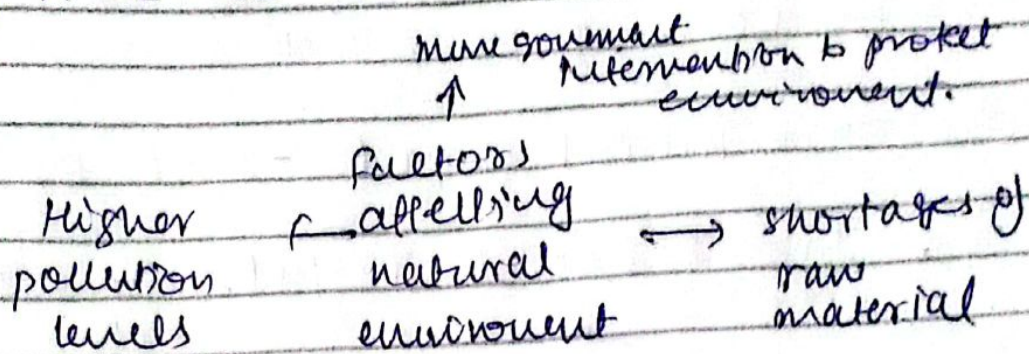
Economic

factors that affect consumer buying power

Natural Environment

It involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities.

✦ The concentration of industries in an area may be a cause on availability of natural resources.



Technological

Creates new product and market opportunities.

~~old~~ ^{new} technology $\xrightarrow{\text{replaces}}$ old

Increased regulation



Issues in the technological environment

High R&D budget

Rapid pace of change

Political and Social Environment

Laws, agencies and groups that influence or limit marketing actions.

* Company's now advised to take amount of social and corporate responsibility.

Cultural

Forces that affect a society's values, perceptions, beliefs etc.

Persistence of cultural values.
Core beliefs and values have a high degree of persistence.
eg. Asians believe in working, getting married.

Shift in secondary cultural values.
(, eg. what age you marry.

People's view of themselves

People's view of others (social or anti-social)

People's views of organisations (to earn or to get satisfaction)

People's view of society (patriotism)

People's view of nature (full nature or live in harmony)

People's view of universe (Atheist and theist)

3 types of Press

1. those who make things happen
2. those who watch things happen
3. those who wonder what happened.

↳ This is why it is extremely important to take into account micro and macro environments to draw out better solutions for the company being affected by it.

eg. form agreements, file lawsuits, do advertorials, hire lobbyist

(giving information about a product in style of an editorial)

(professional advocates that work to influence political decisions on behalf of organisations)